

Case Study Competition — Round 2 Submission

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Submission: Investment Committee Memo — Rajesh Exports Limited

Case: *Gold Standard or Mirage?* — Forensic Equity Research Case

Investment Committee Memo

To: Meera Shah, Portfolio Manager, Aarohan Capital

From: Research Analyst

Date: 30 September 2026

Subject: Rajesh Exports Limited — recommendation following the June 2026 interim regulatory order

1. Recommendation

Option D — Forensic Red Flag / Uninvestable.

Rajesh Exports should be removed from Aarohan's investable universe and the existing position liquidated on an orderly basis, effective immediately.

This is not a finding that the company has committed fraud. We are not equipped to make that finding and the regulator has not made it either. Our conclusion is narrower and more defensible: 98.34% of FY25 consolidated revenue originates in entities whose transaction-level records have not been produced despite repeated requests, and without those records there is no denominator against which any valuation can be struck. A security we cannot analyse cannot hold fiduciary capital, irrespective of price.

The classification is provisional and falsifiable. Section 5 sets out the specific evidence that would return the name to the universe.

2. Situation Summary

Rajesh Exports Limited is a Bengaluru-based listed company in gold jewellery manufacturing, export and refining. Aarohan holds a small legacy position, approved on a thesis of enormous reported scale, ownership of the Swiss refiner Valcambi SA, low reported debt, a long operating history, and a valuation that screened cheap on price-to-sales and price-to-book.

That scale was always concentrated offshore. Across FY21–FY25 the listed Indian parent generated ₹26,487 crore of standalone revenue against ₹15,44,899 crore consolidated — the parent is 1.7% of the group's reported top line. In FY25 alone, standalone revenue was ₹7,027 crore against ₹4,23,099 crore consolidated, with ₹4,16,072 crore attributed to subsidiaries (Exhibit 4).

In June 2026 the securities regulator issued an interim order. Its central allegations: that the overwhelming majority of consolidated revenue was attributed to overseas and step-down subsidiaries; that the company failed to furnish verifiable transaction-level records supporting those revenues despite repeated requests; and that approximately ₹15.15 lakh crore of subsidiary-attributed revenue across FY21–FY25 was prima facie misrepresented. The regulator compared Valcambi SA's audited standalone revenue against group-level consolidated figures and ordered a forensic examination. The findings are interim and do not constitute a final adjudication.

The company denies wrongdoing. It argues that the order is preliminary, that the revenue is genuine, that Valcambi is a globally significant refinery capable of very large throughput, and that the regulator confused

standalone value-addition figures with consolidated bullion revenue. It reiterates that it is debt-free and undertakes to address the concerns with supporting documentation (Exhibit 9).

3. Bull Case

The strongest version of management's defence is genuinely strong, and it should be stated at full weight before it is tested.

Gross bullion revenue is a real accounting phenomenon. Gold refining and bullion trading are high-throughput, low-margin activities. Where an entity takes title to metal, the full value of that metal passes through the income statement as revenue, and margins of a few basis points are the norm rather than a warning sign. Nikhil Arora is right that low margin is not evidence of low quality. Applying a manufacturer's margin intuition to a bullion business produces a false positive.

The reported scale is physically achievable. At an FY25 gold price of approximately ₹80,000 per 10 grams, consolidated revenue of ₹4,23,099 crore implies roughly 530 tonnes of gold value passing through the group's books. Set against global annual gold supply of roughly 4,800 tonnes, that is a large but not fanciful share for one of the world's major refineries. Valcambi is a real, internationally accredited refinery, not a shell. The reported turnover is not, on its face, physically impossible — and any bear argument that rests on incredulity about the headline number alone is weak.

The regulator's comparison may be measuring two different things. This is management's core argument and it deserves to be taken seriously. Valcambi SA's standalone statutory accounts may report revenue on a net basis — refining fees and value-addition — while the group consolidates gross bullion turnover. Under a principal-versus-agent analysis, the same physical activity can be presented either way depending on who bears price and inventory risk. If that is the explanation, then the ₹15.15 lakh crore "difference" in Exhibit 8 is not a missing ₹15.15 lakh crore; it is the arithmetic consequence of comparing a net figure with a gross one. A ratio of roughly 500x is precisely what one would expect if refining value-addition runs at about 0.2% of metal value. On the bull view, that coincidence is the tell: the gap is not an anomaly, the gap is the margin.

The order is interim. "Prima facie" is a low evidentiary threshold. Interim orders are precautionary by design and are frequently modified or vacated on a fuller record. No restatement has occurred, no auditor has resigned, and no adjudication has been made.

The balance sheet buys time. A debt-free company faces no covenant breach, no lender acceleration and no forced liquidation. The failure mode available to a leveraged fraud — a funding run that ends the company before the facts are established — is not available here. If the forensic audit vindicates management, the equity re-rates sharply from a heavily de-rated base, and a fund that exited at the bottom will have converted a temporary disclosure dispute into a permanent loss.

4. Bear Case

The bull case has one load-bearing member: the gross-versus-net explanation. Everything else rests on it. It does not survive contact with three facts.

First, the two revenue series move in opposite directions. If attributed subsidiary revenue is generated by Valcambi's refining activity, the two figures must be correlated — a net presentation is a fixed proportion of the gross one, so both should rise and fall together. They do not. Between FY21 and FY25, revenue attributed to subsidiaries rose 62%, from ₹2,56,245 crore to ₹4,16,072 crore. Over the identical period Valcambi SA's audited revenue *fell* 27%, from ₹586 crore to ₹427 crore (Exhibit 8). Gross-versus-net explains a difference in level. It cannot explain a difference in direction. Something other than Valcambi's refining volume is driving the attributed figure.

Second, the profitability trend contradicts the throughput story. A genuine bullion business earns a thin but reasonably stable spread; more volume should produce proportionally more profit. Between FY23 and FY25 consolidated revenue rose 24.6% while consolidated PAT fell 93.4%, from ₹1,432 crore to ₹95 crore, taking margin from 0.42% to 0.12% to 0.02% (Exhibits 5 and 6). In FY25, ₹4,16,072 crore of subsidiary revenue produced ₹71 crore of subsidiary profit — a margin of 0.017%. In the same year the audited, Indian-regulated parent earned ₹24 crore on ₹7,027 crore, a margin of 0.34%: twenty times better, on a fraction of a percent of the turnover. The entities we can inspect behave like a real thin-margin business. The entities we cannot inspect do not.

Third, and decisively, physical gold leaves a paper trail. Here the bull case's own arithmetic works against it. If roughly 530 tonnes of gold genuinely moved through the group in FY25, then vault receipts, assay certificates, chain-of-custody records, shipping and insurance documentation, counterparty invoices and matching bank settlements exist in enormous volume, across multiple jurisdictions, much of it held by third parties. Bullion at that scale cannot move invisibly; the documentation is not a courtesy, it is operationally unavoidable. The company has been asked for it repeatedly and has not produced it. A measurement-basis dispute is resolved by a single reconciliation schedule in a week. Three months after the interim order, and after repeated requests preceding it, no such schedule exists in public view. Exhibit 12 classifies refusal to share records as bearish on its own footing, and rightly so: non-production is not a neutral fact when production would be cheap and immediately exculpatory.

The group structure compounds the problem. Large revenues are attributed to Global Gold Refineries SA — a *holding* company — rather than to the operating refinery beneath it (Exhibit 1). Revenue recognised at a holding company without clear operating substance is the classic signature of value created by consolidation entries rather than by commerce. Compounding this, the group relied on unaudited holding company consolidation numbers rather than visible audited subsidiary accounts, the specific defect Ananya Menon identifies. Investors were asked to trust a consolidation they were never permitted to examine.

For a long-only fund, this is a valuation problem before it is an ethics problem. Kabir Rao's chain is correct and worth restating precisely: if 98.34% of revenue is unverified, profit is unverified; if profit is unverified, book value is unverified; and if book value is unverified, price-to-sales and price-to-book are not low — they are undefined. The original thesis, that the stock screened cheap, was circular, because the screen's inputs are exactly the figures now in dispute. Five years of ranking among India's largest listed revenue generators produced ₹3,717 crore of cumulative consolidated profit, a cumulative margin of 0.24%. We were never paid for the scale; we were only exposed to it.

Finally, capital allocation into ACC Energy Storage — an unrelated, capital-intensive battery business — while the core revenue base remains unverified is a governance signal in its own right, and a potential cash drain we have no basis to size.

5. Key Evidence Needed

Our classification is provisional. The following evidence, independently obtained rather than management-supplied, would change it.

Evidence that would move us off Option D:

1. **A signed reconciliation from Valcambi SA's statutory accounts to the ₹4,16,072 crore FY25 attributed figure**, prepared by an independent firm and explaining the basis difference line by line. This single document resolves the core mismatch. Its continued absence is itself our strongest bearish datapoint.
2. **Customer-wise sales ledger** for the largest counterparties, with direct third-party confirmations obtained by the auditor rather than routed through the company. This establishes that real buyers existed.
3. **Vendor-wise gold procurement ledger**, matched against **vault, assay and shipping records** evidencing physical metal movement consistent with the reported tonnage. Physical substance cannot be simulated in a ledger.
4. **Bank statements reconciling to invoices**, demonstrating cash settlement rather than accounting entries. Circular or offsetting flows among Rajesh Exports, REL Singapore, Global Gold Refineries SA and Valcambi would be disqualifying rather than supportive.
5. **Confirmation that subsidiary accounts were audited in their own jurisdictions**, with those audit reports made available — rather than consolidated from unaudited holding company numbers.
6. **A clean forensic audit report**, together with an unqualified statutory audit opinion for FY26.

Items 1 and 5 are the threshold conditions. Without them the remainder cannot be relied upon, because we would still be examining documents the company itself selected.

Evidence that would harden Option D into permanent exclusion:

- Any revenue restatement, of any magnitude, in any year.
- Auditor resignation, or a qualified or modified audit opinion.
- Continued non-production of transaction records beyond the forensic audit's timetable.
- Discovery of unexplained related-party or circular transactions among group entities.
- Promoter-level restrictions, trading restrictions, or an adverse final adjudication.

We should be equally explicit about what would *not* change our view: a further denial from management, a price decline that makes the screen look cheaper still, or the mere passage of time without an adverse finding. The absence of confirmed wrongdoing is not evidence of verifiable revenue.

6. Final Decision

Option D — Forensic Red Flag / Uninvestable. Exit the position on an orderly basis and remove the name from the investable universe pending the evidence set out in Section 5.

Taking Meera's four questions directly:

Can we trust the reported revenue? No — not in the sense that matters for valuation. This is not an allegation of fabrication; it is the observation that 98.34% of FY25 revenue sits in entities whose records have not been produced, and that the one externally reconcilable datapoint available to us moves in the wrong direction.

Does the company's explanation make sense? Partially. The gross-versus-net argument is coherent in principle and we have given it full weight. It fails on the facts: it cannot explain why Valcambi's audited revenue fell 27% while attributed revenue rose 62%, and it is an argument that could be settled with one schedule the company has not produced.

What evidence would change our mind? Section 5 — at minimum items 1 and 5, independently obtained.

Should we hold, exit, or classify it as uninvestable? Uninvestable.

On why not Option B: waiting is not a neutral act. If the forensic audit is adverse, exit liquidity disappears into successive lower circuits and we will not be able to sell into the news. The optionality of waiting is negative — we bear the full downside of an adverse finding without retaining the ability to act on it. On why not Option C: exiting alone treats this as a price problem. It is not. The defect is in the financial statements themselves, and a lower price does not repair an unverifiable denominator.

Option D is the only recommendation that both removes the exposure and states, in falsifiable terms, what would bring the name back. The position is small — which argues for acting now rather than tolerating the risk. The cost of exiting is low; the cost of being wrong while holding is a permanent impairment of capital we are paid to protect.

Final Recommendation Box

Option	
☐ A	Buy / Average Down
☐ B	Hold / Wait for Forensic Audit
☐ C	Exit / Avoid
13 D	Forensic Red Flag / Uninvestable

Justification

We recommend Option D because the case against Rajesh Exports is not a case about price, business quality, or regulatory overreach. It is a case about whether a denominator exists.

Across FY21–FY25, between 97% and 99% of consolidated revenue was attributed to overseas subsidiaries. In FY25 the figure was 98.34% — ₹4,16,072 crore of ₹4,23,099 crore. The listed Indian parent — the only entity we can actually inspect — contributed 1.66%. The regulator asked for transaction-level records supporting the other 98.34% and, on repeated request, did not receive them.

Management's defence is that the regulator compared a net figure with a gross one: Valcambi SA's accounts record refining value-addition while the group consolidates full bullion turnover. We took this seriously — gold refining genuinely is a high-revenue, low-margin business in which a 500x net-to-gross ratio is unremarkable.

It fails on three facts.

First, the two series diverge in direction, not merely in level. From FY21 to FY25, revenue attributed to subsidiaries rose 62% while Valcambi's audited revenue fell 27%. A net-versus-gross presentation is a fixed proportion of the same underlying activity; it explains a gap, not opposite trends.

Second, profitability moves the wrong way. Consolidated revenue rose 24.6% between FY23 and FY25 while PAT fell 93.4%, taking margin from 0.42% to 0.02%. In FY25 the opaque offshore operations earned 0.017% on ₹4,16,072 crore, while the visible, audited Indian parent earned 0.34% on ₹7,027 crore — twenty times better. The businesses we can verify behave normally; those we cannot do not.

Third, the scale itself demands documentation. FY25 revenue implies roughly 530 tonnes of gold value, assuming a price of approximately ₹80,000 per 10 grams. Metal in that quantity cannot move without vault receipts, assay certificates, shipping documents and matching bank settlements, much of it held by third parties. Those records either exist, in which case producing them ends the dispute, or they do not. Three months on, they have not been produced. Non-production is not a neutral fact when production would be cheap and exculpatory.

For a long-only fund with fiduciary obligations the consequence is precise. If revenue is unverified, profit is unverified; if profit is unverified, book value is unverified; and a price-to-book multiple built on an unverified book is not low, it is undefined. The original thesis — that the stock screened cheap — was circular, resting on the very figures now in question.

Option B is rejected because waiting carries negative optionality: an adverse forensic finding removes exit liquidity before we can act. Option C is rejected because exiting alone frames this as a price problem, when the defect lies in the financial statements themselves.

Option D is not a finding of fraud. It is the disciplined statement that this security cannot currently be analysed and therefore cannot hold client capital — accompanied by a specific, falsifiable list of evidence that would reverse the decision.

All financial figures are drawn from the exhibits supplied in the case document "Gold Standard or Mirage? — Rajesh Exports Limited, Forensic Equity Research Case" (Exhibits 1, 4, 5, 6, 8, 9, 11 and 12). Aarohan Capital and its staff are fictional. Gold price and global supply reference points used in the tonnage calculation are stated explicitly as assumptions.